

On the other hand, most people believe Coca-Cola has a moat, even though there are many other things to drink. Coke's best customers won't settle for anything less than a Coke when they want it. Coke's brand is known all over the world. Coke products are in nearly every corner of the globe. Coke does have a moat (or perhaps "did," as there is evidence that Coke may be losing its moat).

Chipotle is a quick-service restaurant chain that went from 0 stores to 500 in 13 years. It makes fresh Mexican food. As investor Mohnish Pabrai wrote, "Chipotle has a durable moat. This durable moat causes customers like me to continue to go there regardless of the wait. This moat allows Chipotle to have the ability to earn supernormal profits."

"Supernormal profits" is an interesting phrase. It gets more to the heart of what a moat is all about and why it matters.

Great management by itself is not a moat, a point Dorsey makes as well. You have surely heard the quip from Warren Buffett that "when management with the reputation for brilliance meets a company with a reputation for bad economics, it's the reputation of the company that remains intact." Remember it, because it's true.

Moats are also, as I've hinted, not permanent. Competitors eventually figure out their way across. In Pabrai's book *The Dhandho Investor*, he cites Delta, Gateway and General Motors as all having had deep moats at one time. None of them do now. One of the reasons is management teams can also make mistakes and destroy brands. New Coke didn't go over so well.

And as we saw in an earlier chapter, corporate lifespans continue to shrink.

Mauboussin on Moats

Michael Mauboussin, a strategist at Credit Suisse, has also done some good work on moats. "Measuring the Moat: Assessing the Magnitude and Sustainability of Value Creation" is a 70-page report on the issue. (You can find it free online.)

Mauboussin looked at 68 global industries, with a sample size of over 5,500 companies. And what he found was that some industries are better at creating value than others. The airline industry, for example, is a terrible industry. Paper and forestry products tend to be a weak